

GRAB HOLDINGS LIMITED

(NASDAQ: GRAB)

Fragile HOLD — the Thesis Stands or Falls on Indonesia's Regulatory Trajectory

HOLD — \$3.40 Target

Equity Research Note · Technology — Internet Platforms / Super-App · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$3.40	\$3.08	+10.4%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$12.6 bn (at \$3.08)	Adj. EBITDA streak	18 consecutive quarters of growth
Net cash (pro forma)	~\$3.5 bn (~\$1.13/share)	Valuation	~1.9x FY26E revenue; ~10.4x FY26E adj. EBITDA
52-week range	~\$2.74 – \$6.60	Markets	8 Southeast Asian countries
2025 revenue	\$3.37 bn (+22%)	Governance	Dual-class; ~3/4 voting power with founder
Adj. EBITDA guide (2026)	\$720–740 mn (+44–48%)	Next catalyst	FinSvcs EBITDA inflection (expected H2 2026)

1 Investment Thesis

Grab is Southeast Asia's dominant super-app — ride-hailing, food and grocery delivery, and a fast-growing fintech arm spanning payments, lending, and digital banking — with the region's best network density and a genuine, demonstrated path to sustained profitability. The operating business has arguably never looked better: 18 consecutive quarters of adjusted-EBITDA growth, the first full-year GAAP profit in company history (FY2025, ~\$200M), guidance raised twice this year, and a net-cash balance sheet with \$5.0 billion in the bank. On operations alone, this would be a constructive story.

But Indonesia — Grab's largest market — just rewrote the unit economics by decree. Presidential Regulation No. 27/2026 caps platform commissions at 8% of fare, down from 20%, for two-wheel drivers effective July 1, 2026, and layers on mandatory social-security contributions. We model this explicitly in forecast cash flows: it is an estimated \$35–40 million of annualized EBITDA removed from mobility alone, and the true risk is contagion — extension to food delivery, to four-wheel drivers, and to other markets where gig-worker politics are heating up. This is not a footnote to the thesis; it is the thesis. A government has demonstrated it will cap the take rate, which caps the terminal margin the entire investment case rests on.

At \$3.08 the stock prices in much of the damage — down 49% over the past year, trading at 1.9x forward revenue and 10.4x forward adjusted EBITDA, cheaper than Uber and a fraction of DoorDash despite growing revenue 22%+ and adjusted EBITDA 44–48% — and Grab's regional diversification plus fintech growth keep us from walking away. Hence HOLD, not SELL. Our \$3.40 target assumes the cap stays contained to Indonesian two-wheel mobility: the probability-weighted DCF is \$3.38 (bear \$1.36 / base \$3.37 / bull \$5.43), and any extension of the cap regime makes the \$1.36 bear the operative valuation. We add a 150bp Southeast Asia country-risk premium to every scenario discount rate to reflect exactly this kind of sovereign intervention risk. This is the most fragile HOLD in our coverage: a quarter of adverse newsflow — Atome credit deterioration, a second commission-cap intervention — flips the verdict to REDUCE.

2 Business Overview — What Grab Holdings Limited Is Doing

(Singapore; CEO Anthony Tan)

Grab Holdings, headquartered in Singapore and listed on Nasdaq, operates the leading super-app across eight Southeast Asian countries. The business has three segments: Deliveries (GrabFood, GrabMart, GrabExpress — Q2 2026 GMV \$4.25B, revenue \$531M, +21% YoY, ~12.5% revenue/GMV take rate, segment adjusted EBITDA \$96M); Mobility (GrabCar, GrabBike — Q2 2026 GMV \$2.21B, revenue \$331M, +12% YoY, ~15.0% take rate, the highest-margin on-demand vertical); and Financial Services (GrabPay, lending, digital banking including GXBank — the margin engine of the forward story). Indonesia is the largest single market and the regulatory epicenter. GrabAds — advertising sold to merchants on the platform — reached 1.7% of Deliveries GMV in early 2025 and is a growing, high-margin contributor.

How it makes money: commissions and take rates on every ride and delivery, advertising, and net interest/lending margins. The model is asset-light — no vehicle fleet, no restaurant kitchens, no bank branches. Governance is a structural feature investors must price: Grab is a Cayman-incorporated foreign private issuer with a dual-class structure, and a 2026 shareholder vote doubled Class B super-voting rights, concentrating roughly three-quarters of voting power with co-founder and CEO Anthony Tan on a small single-digit economic stake. Minority holders have essentially no mechanism to influence strategy or M&A. We treat this as a durable governance discount embedded in the required return, not a temporary overhang.

What the company is doing now

- **Profitability inflection is real and accelerating.** Adjusted EBITDA has grown 18 quarters in a row; FY2025 delivered the first full-year GAAP profit; adjusted EBITDA margin expanded from 12.6% (Q3 2024) to 16.9% (Q2 2026). FY2026 guidance was raised twice and now calls for \$720–740M of adjusted EBITDA (+44–48%).
- **Fintech is the margin engine.** Lending and payments attached to the region's largest consumer transaction network should compound at high rates with improving credit performance; FinSvcs EBITDA inflection is expected in H2 2026. The \$1.49 billion Atome (BNPL) acquisition, closing Q3 2027, is the largest check management has ever written — and the largest new credit risk.

3 Financial Analysis

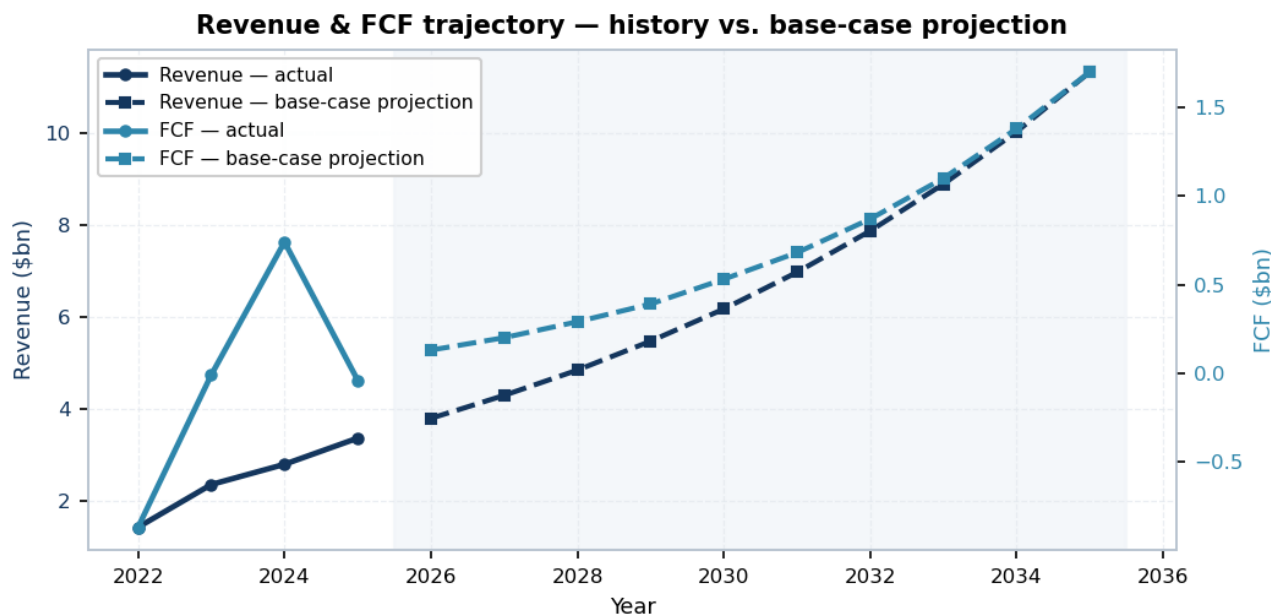
	Q2 2026	Q2 2025	YoY
Deliveries revenue	\$531 mn	—	+21%
Mobility revenue	\$331 mn	—	+12%
Adjusted EBITDA (margin)	\$168 mn (16.9%)	\$109 mn (13.3%)	+54%

Segment figures from Q2 2026 earnings materials.

Revenue has grown 17–24% every quarter; GMV growth accelerated from 15% to 24%; adjusted EBITDA has risen for 18 straight quarters. The Q2 2026 GAAP profit of \$235M is haircut for a \$307M Superbank one-off (true operating profit ~\$19M) — the model does not capitalize one-offs. Net cash is taken pro forma at \$3.5B (\$5.0B reported less the \$1.49B Atome consideration), or ~\$1.13 a share — a third of fair value, flooring the left tail.

The model is a 10-year scenario DCF with no management anchoring — the \$1.7B 2028 EBITDA target is management's, not ours. Revenue CAGRs of 2.4% / 12.9% / 16.4% (bear / base / bull); terminal FCF margins reset to 6.5% / 15% / 18% on normalized mid-cycle profitability; discount rates 16.0% / 13.5% / 12.0% — speculative-tier rates plus an explicit +150bp Southeast Asia country-risk premium calibrated to the demonstrated willingness of governments in the region to intervene directly in platform economics; terminal growth 1.5% / 2.5% / 2.5%. Indonesia's 20%-to-8% commission cap is structural in the bear case.

Revenue & cash-flow trajectory



History: revenue and operating-CF-minus-capex (Yahoo). Projection: the model's base-case path (12.9% revenue CAGR; FCF margin gliding 2%→15%). Shaded = projection.

4 Moat & Competition

- **Regional scale + super-app density — a narrow moat.** Leadership positions are durable (multi-year #1 shares, driver and merchant networks that took a decade to build) but contestable at the margin by well-funded rivals — and regulators can redraw the economics overnight (see Indonesia).
- **Network density.** The region's densest driver/merchant/consumer network lowers fulfillment cost per order and deepens the data advantage in dispatch and pricing.
- **GrabAds as a high-margin layer.** Ad revenue at 1.7% of Deliveries GMV and rising, at ~100% incremental margin, layered on existing GMV.
- **Cooling competitive temperature.** The subsidy wars of 2018–2022 have cooled into 'affordability initiatives' and tiered pricing — better for industry margins. Watch: Uber swallowing foodpanda's parent creates a formidable delivery competitor from 2027; Sea is out-executing in fintech (Monee's \$11.1B loan book sets the benchmark Grab's digibanks are chasing).

5 Valuation — 10-year scenario FCFF DCF (with Southeast Asia country-risk premium), Fair Value \$3

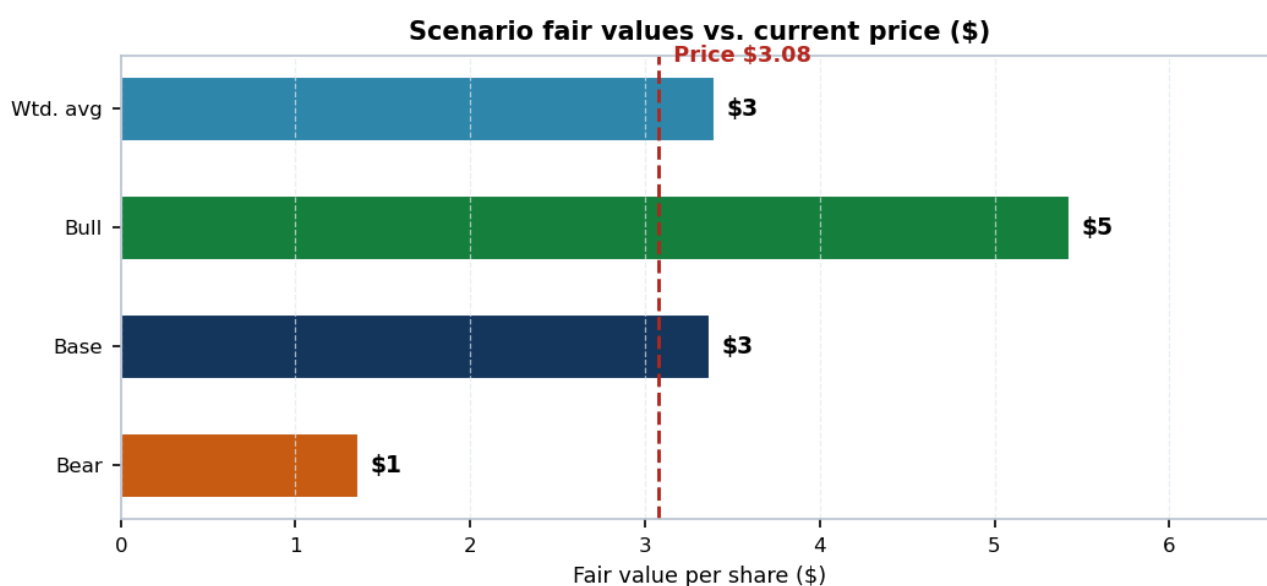
We value Grab on a 10-year scenario DCF, weighted bear 25% / base 50% / bull 25%, with an explicit +150bp Southeast Asia country-risk premium in every scenario discount rate — calibrated to the demonstrated willingness of governments in the region to intervene directly in platform economics, with Indonesia's commission cap as the live example. Rates: bear 16.0%, base 13.5%, bull 12.0%. Terminal growth 1.5% / 2.5% / 2.5% on year-10 FCF at normalized mid-cycle margins — never peak margins. Indonesia's commission cap is modeled explicitly in forecast cash flows; it is the central variable, not a sensitivity.

The bear (\$1.36) assumes the cap extends to food delivery and four-wheel in Indonesia and spreads to a second market, the take-rate ceiling becomes permanent, fintech credit losses rise, and the governance discount widens. The base (\$3.37) assumes containment to Indonesian two-wheel at 8%, fintech scaling with controlled credit costs, deliveries margins expanding. The bull (\$5.43) assumes regulatory stabilization, fintech reaching profitable scale, and regional consolidation delivering synergies. Pro-forma net cash of \$3.5B (~\$1.13 a share, a third of fair value) floors the left tail in every scenario.

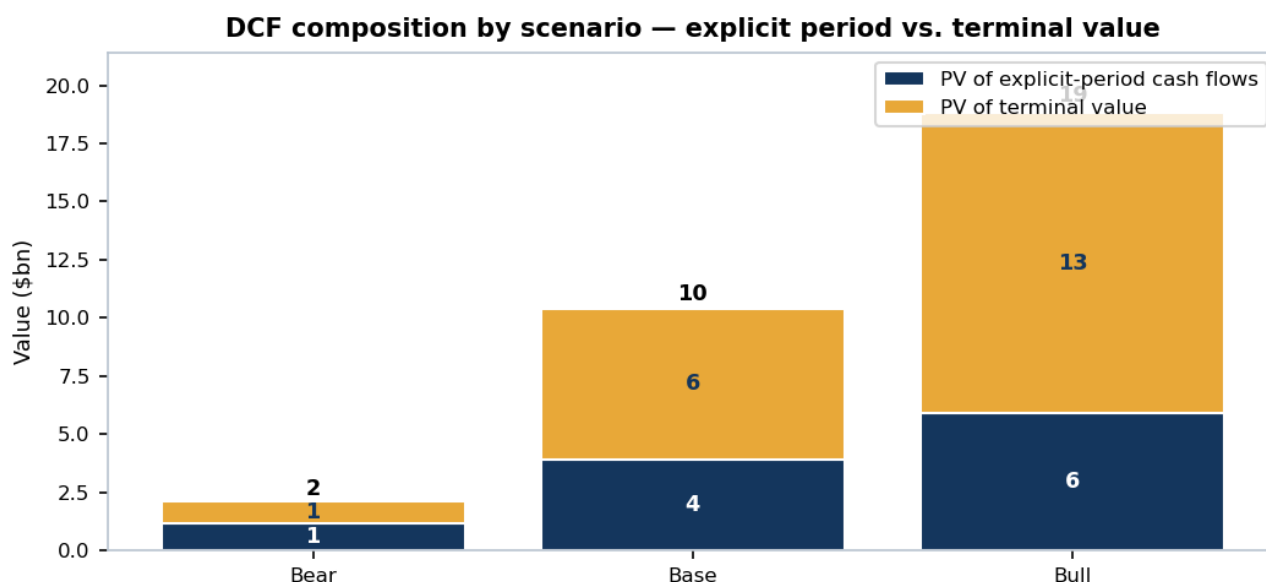
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Commission cap extends to food delivery and four-wheel in Indonesia and spreads to a second market; take-rate ceiling becomes permanent; fintech credit losses rise; governance discount widens.	+2.4%	6.5%	16.0% / 1.5%	45%	\$1.36
Base	Cap contained to Indonesian two-wheel mobility at 8%; fintech scales with controlled credit costs; deliveries margins expand; regional regulation stabilizes.	+12.9%	15%	13.5% / 2.5%	63%	\$3.37
Bull	Regulatory environment stabilizes with no further intervention; fintech lending reaches profitable scale; regional consolidation delivers synergies.	+16.4%	18%	12.0% / 2.5%	69%	\$5.43
Wtd. avg	Probability-weighted (25/50/25) → \$3.40 target					\$3.40

Probability-weighted DCF value is \$3.38 ($0.25 \times \$1.36 + 0.50 \times \$3.37 + 0.25 \times \5.43), rounded to our \$3.40 target. Composition is on an EV basis (\$2.1B / \$10.4B / \$18.8B); \$3.5B of pro-forma net cash is added to reach equity fair value in every scenario.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Regulatory contagion.** Extension of Indonesia's 8% cap to food delivery, four-wheel drivers, or other countries would invalidate the base case — this is the load-bearing assumption.
- **Gig-worker reclassification.** Platform-worker laws across the region are adding social-security and insurance costs structurally.
- **Fintech credit risk.** Lending growth in underbanked markets carries cyclical and underwriting risk; the Atome acquisition concentrates it.
- **Competition.** GoTo in Indonesia and Sea Limited regionally compete aggressively on incentives and pricing.
- **Governance.** Dual-class control concentration leaves minority holders with no influence over strategy or M&A.
- **Foreign exchange.** Multi-currency Southeast Asian revenue translated into a USD listing.

What would change our mind

Any extension of the commission-cap regime — to delivery, to four-wheel, or to another country — would move us to SELL; the containment assumption is load-bearing. Fintech credit losses exceeding through-the-cycle assumptions, or sustained user/transaction decline in the core Indonesian market, would move us toward REDUCE. To the upside: credible regulatory stabilization plus demonstrated take-rate recovery in uncapped segments, or a value-accretive regional consolidation assessed on its own terms, would justify a more constructive stance.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.